



Financial statements

The formal records of a business's financial activities are presented as financial statements. Most jurisdictions require accurate information by law, and financial directors and auditors are liable for its contents.

How it works

Financial statements summarize a company's commercial activities clearly and succinctly, with details of the business's performance and changes to its financial position. They are aimed at several parties,

so they need to be detailed but also comprehensible to the general public. The statements are usually presented together in the form of an annual report, with in-depth accounts and footnotes to give detail. Legal requirements vary, but accounts must be exact.

What's in an annual report

The contents page shows where to find the big three statements—the balance sheet, cash-flow statement, and profit-and-loss statement—and softer information such as stories about staff and opinions of other stakeholders. The annual report provides an opportunity to impress shareholders and lenders as well as fulfill legal reporting obligations. It will contain all, or most, of the following.



It is common for the chairman to write an introduction focusing on the positives and explaining any negative parts of an annual report for the benefit of shareholders.



These pages contain much of the company's information on its environmental protocols, most of which are industry-specific. *See also pp.122–123.*



This section underlines a company's social ethos, in particular its community involvement. Different types of companies may focus on different values.



A section on employees details areas such as staff development and training, health and safety, and key statistics on staff satisfaction.



A brief overview summarizes the key areas of finance for the company, including overall performance, turnover, operating costs, capital investment, depreciation, interest charges, taxation, and dividends. *(See also pp.114–121.)*



The infrastructure pages of an annual report are a good place to supply more detail about the company's fixed assets and explain why the company is an attractive investment for investors